lower returns and higher transaction costs (which are a source of income for brokers and most financial advisers). Buying and selling investments may be fun, but if you want to benefit from long-term wealth creation, patience is the key. Mr Talwar realized that he was losing a large part of the return due to the high churn that enriched his broker.

Lack of diversification: Different assets carry different kinds of risk and return potential. Hence, diversifying your portfolio is very important to insulate yourself from shocks in a particular asset class. More specifically, adequate diversification across different asset classes can help in sustained long-term wealth creation. Mr Talwar's concentrated investments in property (both buying property and lending to developers) meant that when the tide turned against real estate, he was left high and dry. That being said, excessive diversification and exposure to too many stocks/funds can also negatively impact the returns of the portfolio.

High commissions and fees: Paying a higher fee on your investments over the long term can have a significant impact on the performance of your portfolio. The money you pay as fees and brokerage every year compounds along with your investment returns over time. Many advisers will often recommend high-cost funds or high-cost advisory services to you—don't let these high costs eat away your returns. It is extremely important to choose funds that have reasonable expense ratios. Mr Talwar ended up with a much lower corpus from his insurance schemes because most of them had extremely high expenses.

Chasing short-term returns: Most investors chase higher returns or yields on their investments without really knowing the risk attached to them. A high yielding asset is a very tempting proposition but past returns and/or current high yields are no assurance of higher returns in the future. It is important to focus on the whole picture and not disregard the risk you carry on your investments. Both Mr Talwar and Mr Sanghvi got greedy and chased short-term returns through developer and Hundi lending respectively. When the music stopped, they suffered massive erosion in their investments.

Timing the market: Markets do not move linearly and are inherently volatile. Whilst there are indicators of various kinds that reflect the market